RESEARCH REPORT / CREDIT, COUNTERPARTIES AND CASH FLOW

AI's financing loop

Strong suppliers can become shared sources of credit risk. When an AI customer weakens, the same network can lose sales, investment value and contractual support at once. The evidence warrants closer underwriting; it does not establish an inevitable system-wide crash.

Research cutoff: 13 November 2026, 14:19 Singapore time Source periods are stated beside every figure.

Five findings	Implication
1. Circular links are material. BIS finds 55.2% of incoming disclosed deal value involved AI investors.	Whole funding rounds are measured; the statistic is not a tracing of supplier dollars. [1]
2. Backstops create real obligations. Alphabet, Broadcom and Nvidia disclose support with different triggers.	Read notional, recognised liability, timing and recovery rights separately. [2][3][5]
3. CDS is a useful stress signal. Trading, outstanding positions and spreads are distinct measures.	A turnover surge cannot be converted into a default probability. [10][12]
4. End-customer cash is the test. New finance can bridge a buildout, but cannot by itself validate profitable demand.	Assess cash generation after operating costs, replacement investment and financing commitments. Analysis.
5. The 2008 analogy is conditional. Connected losses matter; funding structure also matters.	Long-term debt reduces one crisis mechanism, while concentration can still transmit losses. [18]

THE INVESTMENT QUESTION

If fresh supplier funding and refinancing pause, who can still meet their obligations from existing liquidity and customer receipts?

Scope: supplied video claims, BIS evidence, selected US-listed suppliers, AI infrastructure financing, CDS and portfolio implications. Independent educational analysis; no price target or trading recommendation is implied.

Design: V3.0 Deep Vintage 05; V1.2 semantic identities. Facts, reported observations, calculations and analysis are labelled.

CONTENTS / TAP TO JUMP

Reading map

Start with the evidence you need. The claim audit tests the video; the company pages separate obligations; the final sections turn the research into a practical review framework.

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Source markers throughout link to the bibliography. Page-footer links return to this map, the overview or source list. All dates are stated in Singapore context unless a filing period is specified.

01 / CLAIM AUDIT

The video needs precise definitions

The research separates a credible mechanism from claims that reach beyond the evidence. Timestamps below follow the synopsis supplied with the request; a complete independently retrieved transcript was unavailable. [24]

Video claim / timestamp	Assessment	What the report can support
55% of AI investment comes from other AI firms 00:00-00:30	QUALIFY	55.2% of incoming disclosed deal value involved an AI investor in the BIS sample. Individual investor contributions are unobserved. [1]
One in six deals; nearly half the money 00:47-00:54	DENOMINATOR	16.1% by count and 46.4% by disclosed value refer to AI-to-AI deals with commercial links, not all global AI financing. [1]
Default protection quadrupled 02:26-02:38	METRIC	Reported average weekly traded notional rose from below US$2bn in July to above US$9bn in September across seven issuers. [10]
Record premiums indicate rising risk 02:36-03:00	DATED SIGNAL	October reporting documents wider spreads, with large differences across borrowers; no executable 13 November quotes were obtained. [11]
Banks offload AI credit risk 05:20-06:20	SUPPORTED	Named-bank reporting and insurer evidence support risk transfer and concentration limits; neither demonstrates that every bank has exhausted capacity. [15][16]
Suppliers backstop customers 12:20-14:38	SUPPORTED	Specific filings substantiate capped or conditional support. Equity, purchases and guarantees remain separate instruments. [2][3][5][9]
AI is the main driver of US GDP 15:13-15:25	TOO BROAD	Related investment is material, but selected categories include non-AI activity and imports reduce domestic contribution. [21][22]
This repeats 2008 07:20-09:50	NOT ESTABLISHED	Risk concentration is a valid parallel. A matching liquidity and maturity structure has not been demonstrated. [18][19]

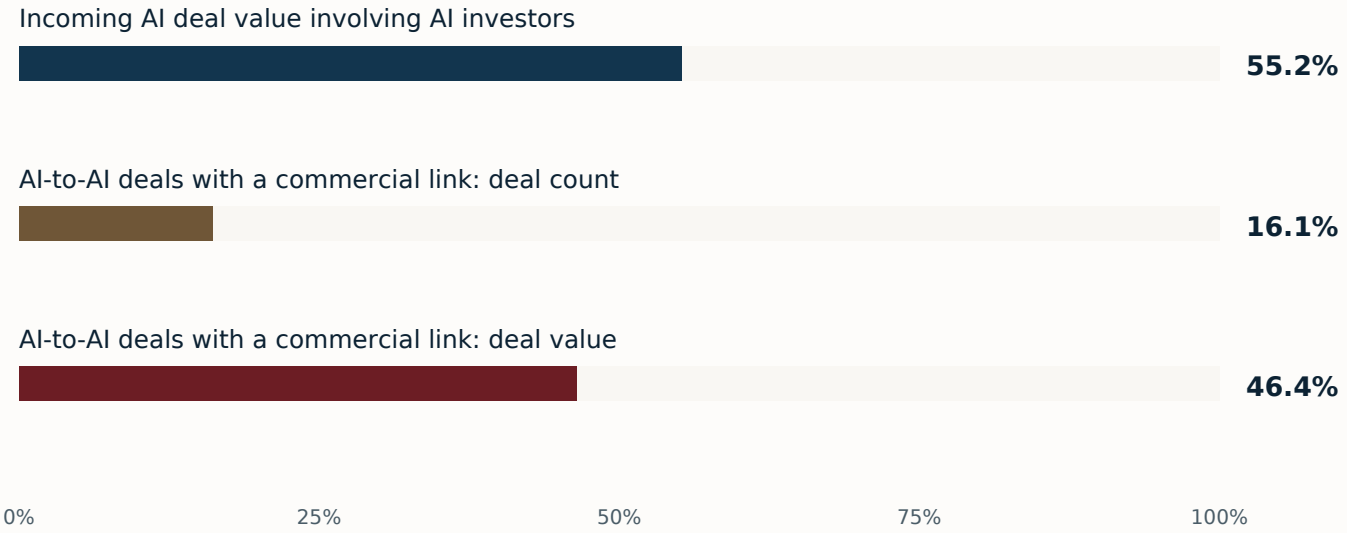
A fact check can strengthen the concern while narrowing the language. The strongest finding is connected exposure to uncertain future cash flows, rather than an assertion that all AI revenue is artificial. Analysis.

02 / EVIDENCE: BIS BULLETIN 137

BIS measures relationships

Overlapping relationships carry disproportionate deal value

BIS sample, 2021-2025 | percent of the denominator stated on each row



How to read this. All bars start at zero, but the first bar has a different denominator from the final two. The lower pair shows that qualifying AI-to-AI deals are more prominent by value than by count. Source: BIS Bulletin 137, 1 October 2026, Graph 3; sample period 2021-2025. [1]

The sample is broad, but not an industry census. The researchers identify 1,246 AI firms across compute, infrastructure, data tools, models and applications, and 972 intra-AI investment relationships over 2021-2025. Their dataset combines financing and commercial relationship information. [1]

A commercial relationship can qualify without a traced return of the same dollar. The definition requires both an investment relationship and a supplier/customer relationship during the five-year interval. It does not require evidence that one particular financing round contractually funded a purchase from its investor. [1]

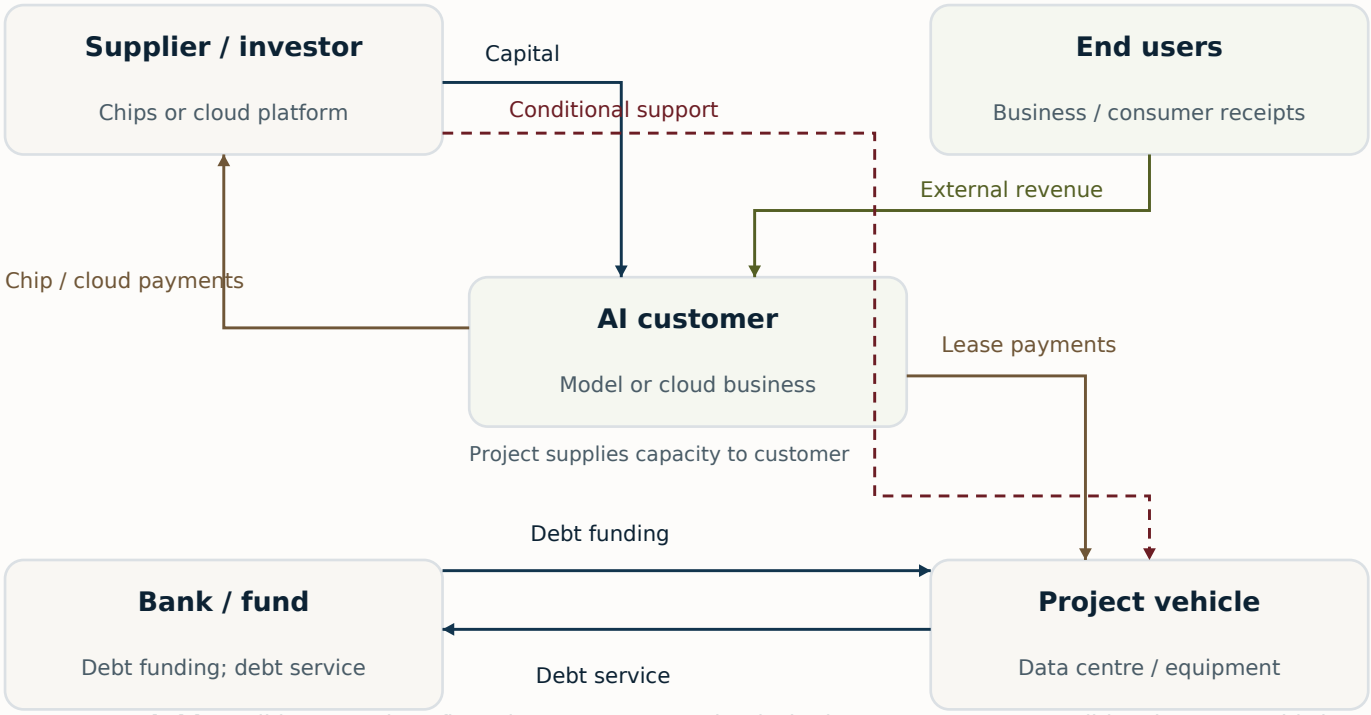
A full round enters the value measure. Where several investors participate, the researchers do not observe each investor's contribution. A qualifying AI investor can therefore cause the entire disclosed round value to be included. It would overstate the evidence to describe every measured dollar as supplier money. [1]

WHAT THE NUMBERS DO NOT PROVE

The study does not establish fabricated sales, fraudulent accounting or inevitable defaults. Financing includes more than debt, disclosure coverage is incomplete, and Graph 1 flags 2025 deal data as provisional and incomplete. The authors' views are not necessarily those of the BIS or its member central banks. [1]

03 / MECHANISM: FOLLOW THE PAYMENT PATH

One network, several loss channels



How to read this. Solid arrows show financing or payments; the dashed arrow represents conditional support. This is a conceptual network, not a map of one transaction or its legal entities. Actual contracts need not contain every link. Based on the mechanisms in [1] and the selected company filings.

There are legitimate reasons to invest in a customer. A supplier may know more about a customer's utilisation than an outside lender, want to secure demand, or help overcome a financing bottleneck. A customer may invest upstream to secure scarce inputs. These links can align incentives and fund useful capacity. [1]

The risk is dependence on the same eventual source of cash. If end users do not pay enough for the service, a supplier's investment may support its near-term sales without establishing a self-sustaining customer. The distinction is between a financing bridge and a lasting substitute for demand. Analysis.

One setback can damage several positions at once. Lower customer receipts can reduce future orders, weaken an equity investment, lower collateral recovery and activate a guarantee. These are correlated channels; they should not automatically be added as separate realised losses. Analysis.

TEACH ME

Think of a machinery seller helping a customer finance a factory. The factory can be real and the machinery sale valid. The key question is whether the factory can sell its output profitably after the initial financing has been spent. Analogy; no numerical assumptions.

04 / ECONOMIC EXPOSURE AND ACCOUNTING

Classify the contract first

The word backstop covers several different promises. Identify the payment trigger, obligor and recovery rights before interpreting its size. Explanatory taxonomy; examples and definitions in [2][3][5][9][12][13][14].

Instrument	What it supplies	Primary risk to examine
Equity investment	Risk capital with ownership upside	The investment can lose value; it does not automatically guarantee the investee's debt.
Loan / vendor financing	Cash now, contractual repayment later	Borrower cash flow, seniority, collateral, covenants and refinancing.
Capacity purchase / offtake	A buyer for specified output or availability	Delivery conditions, take-or-pay wording, price and cancellation rights.
Lease / payment backstop	Support for a defined tenant obligation	Covered lease, commencement conditions, trigger and termination payment.
Residual-value guarantee	Support for a defined shortfall after recovery	Cap, recoverable value, remarketing rights and simultaneous asset sales.
CDS / loan credit insurance	Transfer of specified credit risk	Reference entity, policy exclusions, trigger, settlement and protection-seller strength.

Four amounts to keep separate	Interpretation
Maximum contractual exposure	A cap or notional under specified conditions. It may cover many years and does not state the expected loss.
Recognised accounting liability	A valuation at a reporting date; it can change. It does not limit the eventual cash call.
Cash already funded or paid	An actual disbursement, equity investment or claim payment. This is different from an undrawn promise.
Economic loss after recovery	Depends on payments, collateral, resale / reletting proceeds and the enforceability of recourse.

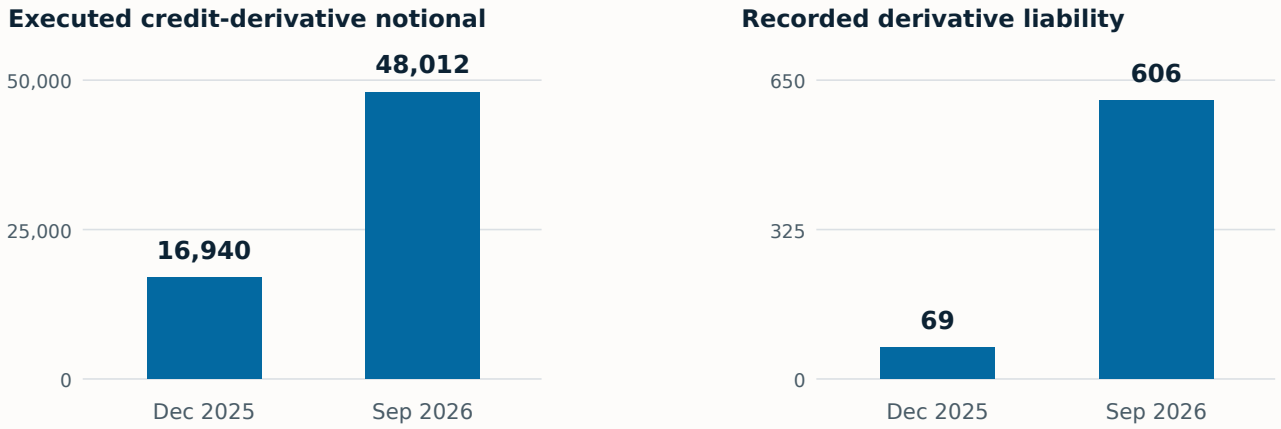
Off-balance-sheet principal does not mean undisclosed or unrecorded in every sense. Read the footnotes and the relevant valuation lines. Conversely, a disclosed small liability should not replace a stress assessment of the much larger contingent obligation. Analysis, illustrated by [2].

05 / COMPANY CASE: ALPHABET

Read Alphabet's two measures

Contractual exposure and recorded value answer different questions

Alphabet | 31 Dec 2025 and 30 Sep 2026 | US$ million | zero baselines



Independent vertical scales. The liability is not a cap on future cash payments.

FACT. Note 3 reports US$48,012m executed credit-derivative notional and a US$606m liability at 30 September 2026, versus US$16,940m and US$69m at 31 December 2025. [2]

How to read this. The two panels use separate zero-based scales and exact US$ million amounts. Notional represents maximum potential payments under specified default scenarios; accounting fair value answers a different question. Source: Alphabet Form 10-Q, Note 3. [2]

Additional disclosed context	US$ billion
Total data-centre support, using MD&A's displayed precision	75.7
Executed support within that total	48.0
Obligations to establish future backstops	27.7

Amounts in this table follow the filing's displayed billion precision; do not treat 48.0 as a newly exact value or add it to the 48,012m notional. Source: MD&A Contingent Commitments. [2]

The analytical implication

Credit support changes which business risks the shareholder bears. A platform can be economically exposed to infrastructure even when another legal entity raises the project debt. The investor must examine conditions under which the platform becomes a payer or tenant, in addition to its direct borrowings. Analysis.

The smaller liability is neither reassurance by itself nor evidence of concealment. A stress review should focus on timing, simultaneous customer weakness and the usefulness of capacity acquired after a failure. A fair-value measure and a maximum-payments measure are not competing estimates of the same thing. Analysis.

06 / COMPANY CASES: CONDITIONS MATTER

Different promises, different risks

Disclosure	What is supported	Timing and limit
Broadcom 26 October arrangement; 27 October 2026 filing	Residual-value support to a project vehicle. The disclosed shortfall references 72.5% of outstanding lease amounts less rack recovery.	Approximately US$43bn maximum, undiscounted, after deployment. Exposure builds with deployment and falls with payments. [3]
Nvidia 17 August 2026 filing	Residual-value guarantees relating to SB Energy capacity leased to OpenAI; contractual recovery and remedy provisions apply.	US$105bn aggregate cumulative cap, subject to ready-for-service conditions. [5]
Nvidia timing July-quarter subsequent event	Guarantees generally activate by construction phase at lease commencement.	First phase expected in fiscal 2029; each relevant lease runs 20 years. Fiscal 2029 is not calendar 2029. [6]

Broadcom's earlier disclosure is not interchangeable with the October arrangement. The August-quarter filing used an approximately US$29bn maximum and an 85% formula. It also discussed conditional convertible notes of up to US$42bn, none issued at that reporting date. These require transaction-level reconciliation before aggregation. [4]

Nvidia's recourse is only as valuable as the party that must honour it. OpenAI must reimburse or indemnify amounts Nvidia actually pays under the August agreement. If the triggering event is tenant financial distress, that recovery may be weak when most needed. The first sentence is contractual fact; the second is analysis. [5]

DO NOT CREATE A FALSE SYSTEM TOTAL

Alphabet's US$48,012m, Broadcom's approximately US$43bn and Nvidia's US$105bn are not additive measures of system debt. They differ in definition, observation date, timing, recovery and possible overlap. An aggregate requires each underlying obligation to be identified once.

A useful stress equation

Contractual support should be modelled as a conditional shortfall. A simplified residual-value structure is max(0, covered obligation - eligible recovery), subject to the contract's trigger, cap and timing. This is a conceptual identity, not a loss forecast or a substitute for the signed agreement. Analysis.

07 / FEES, WARRANTS AND REVENUE SUPPORT

Why suppliers support customers

Verified example	Form of compensation or support	What it means
Google / TeraWulf	TeraWulf issued warrants for 73,580,000 shares at US$0.01 exercise price in consideration of Google's backstop. [7]	Equity-linked compensation is established; a generic cash signing fee is not.
Nvidia / SB Energy / OpenAI	SB Energy states it owes no guarantee compensation; OpenAI compensates Nvidia separately. [8]	Compensation is verified, but the cited disclosure does not establish a standard fee amount or form.
Broadcom October arrangement	The reviewed 8-K does not disclose a guarantee fee. [3]	Absence in that filing does not prove no economic benefit; do not invent a fee.
Nvidia / CoreWeave	September 2025 agreement: US$6.3bn initial order for access to residual unsold capacity, through 13 April 2032, subject to terms. [9]	This is a capacity purchase commitment, not a blanket guarantee of every CoreWeave liability.

The supplier can benefit in several ways at once. It may receive an investment return, secure sales, reserve computing resources or gain strategic influence. A financing arrangement can make a project viable and support genuine activity. The alignment of benefits explains why these arrangements arise without proving that every transaction is economically sound. Analysis.

Assess the combined economics over the full life of the deal. Revenue and gross margin today should be considered alongside capital invested, purchase obligations, possible guarantee calls and future recoveries. A fee is compensation for bearing risk; it does not extinguish that risk. Analysis.

Look for a growing share of receipts from financially independent end users. Customer growth funded by recurring operating revenue gives different evidence from growth funded by fresh vendor investment. External equity funding can be legitimate too, but reliance on repeated refinancing adds a separate funding condition. Analysis.

TEACH ME

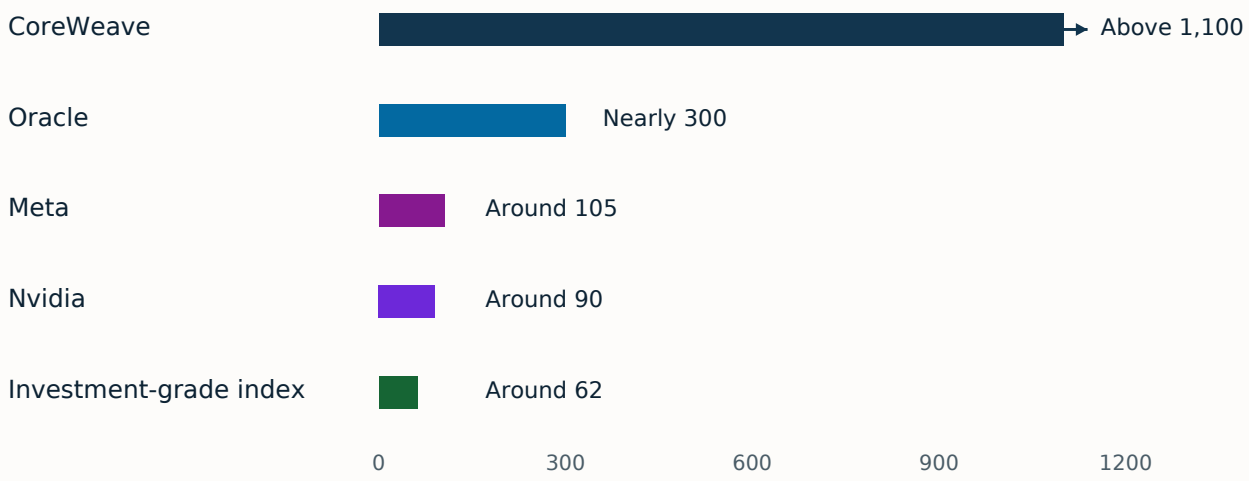
A landlord, a tenant and a guarantor can all have different obligations. Owning shares in the tenant, renting spare space, and promising to cover a missed lease payment are three separate positions. Trace each before judging the combined risk. Analogy.

08 / MARKET EVIDENCE: PRICE AND ACTIVITY

Credit risk differs across AI firms

AI-linked borrowers carried very different credit prices

Reuters report, 15 Oct 2026 | CDS spread, basis points | indicative snapshot



Approximate source levels preserved; the first bar marks a lower bound, not an exact quote.
How to read this. Larger bars mean a wider reported spread. These are dated, indicative levels with the source's qualifiers preserved; no common executable timestamp or precise index ticker is claimed. One basis point is 0.01 percentage point. Source: Reuters, 15 October 2026. [11]

Average weekly CDS trading	Reported value
July 2026	Below US$2bn
September 2026	Above US$9bn

Scope: Oracle, SpaceX, Alphabet, Amazon, Meta, Broadcom and Nvidia. FT, 20 October, citing Morgan Stanley Research. Turnover, not outstanding insurance. Raw dataset unavailable. [10]

A common sector label conceals different financing risks. A borrower dependent on future operating cash and refinancing is not economically identical to a company with established cash-generating activities. The disparity in protection prices is evidence that investors are distinguishing those business models. Analysis.

The latest lending report adds a separate signal. Reuters reported on 9 November that some lenders were becoming more selective, reviewing cash flows, delivery deadlines and termination clauses. It did not establish a system-wide lending stop. [17]

READ THE SIGNAL IN CONTEXT

Use spreads together with cash-bond prices, financing terms and operating cash conversion. Trading volume alone cannot tell whether the market is adding new net short positions or actively managing a larger stock of exposure. Analysis; measure definitions in [12].

09 / TEACH ME: THE HEDGE AND ITS GAPS

What CDS can and cannot cover

A CDS buyer pays for protection tied to a specified reference entity and contract. Settlement follows an applicable credit event, such as bankruptcy or failure to pay. A falling share price, a delayed project or weaker revenue need not trigger payment. [13]

Measure	Interpretation	Common mistake
Spread / upfront price	Price of taking specified credit risk.	Calling it a directly observed default probability.
Trading turnover	Contracts traded during a period.	Calling it outstanding insurance or new AI funding.
Gross notional	Face amount before relevant offsets.	Calling it the loss the system must suffer.
Net notional	Positions after applicable offsetting.	Treating it as all credit exposure across every instrument.
Counterparty exposure	Amount at risk if the protection counterparty fails, after applicable collateral and netting.	Confusing it with the reference company's own debt.

Definitions adapted from DTCC documentation and standard credit-derivative concepts. [12][13]

Quoted spread and cash premium are not always the same payment schedule. Standardised single-name CDS can trade with a fixed running coupon plus an upfront amount. The ISDA model converts between them. Multiplying a high quoted spread by notional is not necessarily the actual annual invoice. [14]

A model-implied default probability depends on assumptions. Recovery, discounting, risk compensation and liquidity affect pricing. Without a consistent model and inputs, translating a spread directly into a physical probability would create false precision. This report makes no such conversion. Analysis; institutional discussion in [23].

Five reasons a hedge can disappoint

Read the mismatch before relying on protection. Basis risk arises when the hedge references a different entity or seniority; trigger risk concerns events outside the contract; counterparty risk concerns the seller; timing risk concerns cash needs before settlement; and carry cost accumulates while protection is held. These are analytical checks, not a claim that a specific disclosed hedge fails.

THE BIG SHORT LESSON FOR POSITIONING

A correct concern is not automatically a profitable trade. The selected reference name, contract, premium, horizon and ability to hold the position matter. A broad equity correction can occur without a covered credit event. Analysis.

10 / BANKS, INSURERS AND PRIVATE CAPITAL

Where the transferred risk goes

The reported bank actions differ. FT reported on 11 November that Barclays had bought AI-infrastructure credit insurance, HSBC had explored it and JPMorgan had considered but declined it. This is reported evidence; the private policies were not reviewed. [16]

Sector limits can bind before a whole market runs out of capital. Willis's May 2026 survey discusses data-centre allocation constraints at some insurers, alongside broader growth in credit-insurance capacity. Its survey covered 76 regular insurer counterparties and was conducted in January. [15]

Route	What changes	What remains to check
Loan syndication / sale	Another investor holds all or part of the loan.	Risk retained, representations, undrawn commitments and warehouse exposure.
Loan credit insurance	A policy transfers defined losses to an insurer.	Exclusions, claims process, recovery timing, insurer and reinsurer concentration.
Traded CDS	A derivative transfers reference-entity credit risk.	Basis, collateral, termination and settlement terms.
Supplier guarantee	A commercial counterparty supplies conditional support.	Whether the supplier weakens at the same time as the customer.
Fund / securitisation exposure	Credit reaches institutional or private investors.	Look-through concentration, leverage and the funding of the holding vehicle.

A hedged lender is not necessarily expressing a net bearish view. The lender may preserve the loan relationship and fees while reducing one risk. The correct assessment includes the retained credit, cost of protection and any remaining mismatch. Analysis.

Internal-limit relief need not reduce regulatory capital. Contract terms and jurisdiction determine the treatment. [16]

FOLLOW THE ULTIMATE LOSS BEARER

The transfer helps if the recipient can bear the loss. Check whether an insurer also owns the same tenant's bonds, backs several related projects or relies on a concentrated reinsurer. Count the underlying credit once while retaining each counterparty link. Analysis.

11 / HISTORICAL COMPARISON

Telecom finance and the 2008 warning

Vendor finance is the direct commercial parallel. BIS Bulletin 137 points to Lucent and Nortel in the late-1990s telecom buildout: financing customers could support equipment demand while exposing the supplier to customer failure. Its discussion distinguishes those debt arrangements from AI equity-investment cases. [1]

AIG shows why the protection seller matters. The New York Fed attributes AIG's 2008 liquidity crisis to mortgage-related losses and collateral calls on CDS and other contracts, intensified by rating downgrades. The dangerous combination included concentrated exposure and cash demands that could not be met. [19]

Mechanism	Why the comparison helps	Evidence needed for a crisis claim
Vendor-financed demand	Sales can depend on customer access to capital.	Independent customer cash generation and recoveries when funding stops.
Shared optimistic collateral values	Many projects may depend on the same resale or reletting assumptions.	Observed liquidation values, alternative uses and simultaneous supply.
Risk transferred outside banks	The identity of the loss bearer can become harder to see.	Net exposures, leverage, risk retention and liquidity buffers.
Maturity / liquidity mismatch	A solvent-looking asset can be difficult to fund or sell in stress.	Evidence of runnable funding or material near-term cash calls.
Interconnected guarantors	One large firm may support several apparently distinct projects.	Complete commitments, enforceable triggers and group-level aggregation.

Current structure also supplies a counterargument. BIS Bulletin 140 says predominantly long-term debt makes a GFC-style short-term funding run less likely, while concentration and opacity can still transmit losses. This is a structural distinction, not a solvency guarantee. [18]

Regulatory assessments are dated, not timeless. The Bank of England's July 2026 assessment described limited debt stocks as a constraint on financial-stability risk at that time, alongside rapid growth. It should not be presented as a current all-clear for every market or issuer. [20]

ASSESSMENT

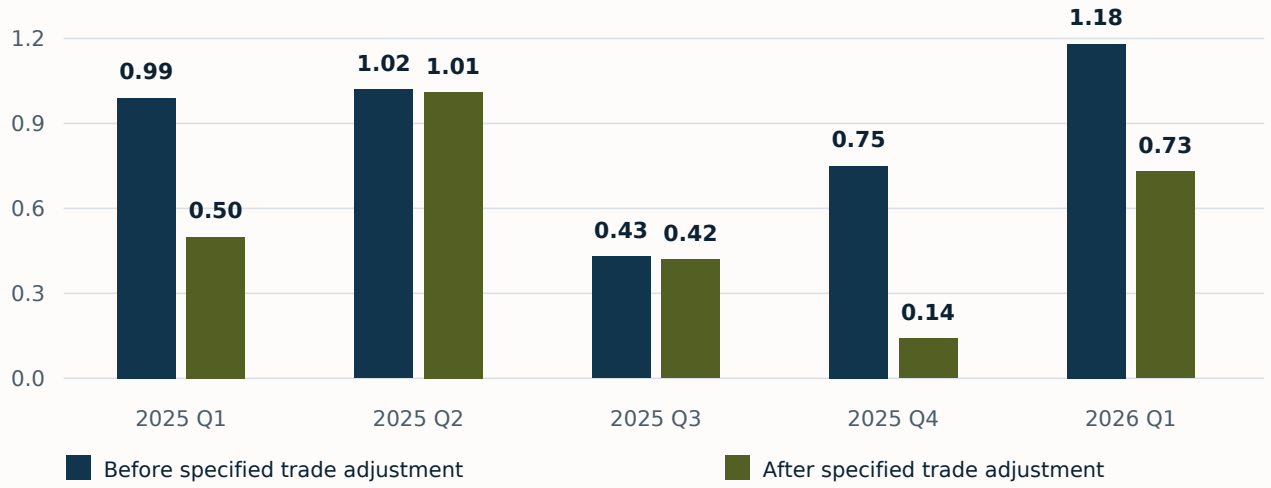
The analogy is a checklist of failure mechanisms, not a forecast date. To move from a sector correction to a systemic-crisis thesis, evidence of leveraged loss concentration, weak protection and funding pressure is required. Analysis.

12 / MACROECONOMIC EVIDENCE

Growth needs a measured proxy

Imported equipment reduces the domestic growth contribution

Selected investment proxy | contribution to annualised quarterly GDP growth, pp



How to read this. Bars sum selected software, data-centre, power and computer-equipment contributions, then add the Fed paper's specified net-export adjustment. They are percentage points of annualised quarterly GDP growth, not percentages of GDP or AI revenue. July 2026 source vintage. [21][22]

These categories are not a clean AI-only series. Software, power facilities and computer equipment include other activity. Imported equipment can add to measured investment while subtracting through trade; the paper's adjustment also has allocation limitations. [21]

Calculation. For 2026 Q1: 0.53 + 0.03 + 0.03 + 0.59 = 1.18pp; 1.18 - 0.45 = 0.73pp. These are sums of the source's displayed estimates, not new precision. [22]

A slowdown could spread through investment before credit losses become final. Fewer projects would affect construction, equipment and related activity; weaker asset prices could affect spending and funding appetite. The size of those channels cannot be inferred from the investment proxy alone. Analysis.

ECONOMIC CONCLUSION

AI-related investment is material, but the claim that AI alone is the primary driver of US growth is not established by this evidence. The proxy measures a contribution over selected historical quarters; it does not provide a counterfactual GDP path without AI.

13 / SCENARIOS AND TRANSMISSION

When funding and demand weaken

Three qualitative paths clarify the decision without invented probabilities. The scenarios below are analytical possibilities, not forecasts. They show what would make financing support a durable bridge or a source of losses.

Scenario	What would be observed	Portfolio / credit implication
Demand validates investment	Paying users and utilisation grow; customer receipts increasingly cover operating costs and replacement investment; refinancing is available on workable terms.	Financing links can help scale productive capacity. Assess valuation and returns on invested capital, even if credit risk recedes.
Growth continues, returns disappoint	Compute prices or margins fall; depreciation and replacement spending remain high; projects finish but shareholders earn less than expected.	Equity can reprice before any default. Separate business viability from the return justified by the price paid.
Funding and demand weaken together	New equity and loans become harder to obtain; utilisation or collection weakens; asset sales rise; guarantees are tested.	Cash buffers, maturity schedules, seniority, contract protection and liquidity become decisive.

An analytical sequence to watch

The first symptom may be a worse financing term, not a missed coupon. Wider spreads, higher equity contributions, tighter covenants, lower collateral advance rates or cancelled issuance can reveal that lenders need more protection. Track these together with operating evidence. Analysis.

Asset values and credit support can weaken together. If many owners try to relet data halls or sell similar equipment, assumed recovery may fall. A guarantor exposed to the same industry can face weaker sales just as its support becomes valuable to lenders. Analysis.

Rates can move in more than one direction. A growth shock may support government bonds, while heavy issuance or inflation pressure can keep long yields elevated. Credit spreads can widen even if Treasury yields fall. No automatic duration or currency payoff is assumed here. Analysis.

WHAT WOULD CHANGE THE VIEW

More independent recurring cash, lower funding dependence and transparent, limited guarantees would strengthen the investment case. Expanding commitments, weak collections, refinancing difficulty and poor realised recoveries would strengthen the risk case. Analysis.

14 / STRATEGY FOR A SINGAPORE PORTFOLIO

Look through product labels

Count the same AI cycle wherever it appears. Direct shares, index funds, sector funds, structured notes, credit funds and financing collateral can all depend on overlapping companies or customer demand. Product labels alone do not establish diversification. Analysis.

Exposure	What to review	Practical action
Shares / equity funds	Cash generation, valuation, customer concentration and unfunded commitments.	Map the underlying names and commercial links; separate profitable platforms from funding-dependent projects.
Corporate bonds / credit funds	Issuer versus project borrower; seniority, maturity, recourse and recovery assumptions.	Read commitment notes and identify the ultimate guarantor, rather than relying only on a headline rating.
Structured notes	Issuer credit plus the exact underlying, barrier, worst-of, conversion and coupon conditions.	Review the actual term sheet; do not interpret coupon income as evidence that capital risk has disappeared.
Financed holdings	Collateral concentration, liquidity, advance rates, margin terms and repayment currency.	Test the joint need for cash if collateral values fall while funding terms worsen.
USD assets / SGD spending	Both security return and USD/SGD translation.	Keep investment P&L, currency translation and funding cost separate; assess liquidity in the currency needed.

Prefer resilience that can be observed. Useful evidence includes collected cash from diverse customers, funded near-term obligations, manageable replacement spending and clear contractual protection. A strong technology position is one input; the ability to finance it through a downturn is another. Analysis.

A portfolio adjustment should follow the exposure map. Where holdings share the same risk, consider whether position size, leverage or liquidity is the problem before selecting a hedge. Any action still depends on actual holdings, costs, suitability and mandate; this report is a research framework, not a client-specific allocation. Analysis.

THE MARGIN-OF-SAFETY QUESTION

What financial result must occur for this security to justify its current price, and what happens if that result is delayed? A sector can create useful technology while particular investments deliver poor returns. Analytical investment principle.

15 / ACTIONABLE WATCHPOINTS

Follow cash and commitments

Watchpoint	Evidence that would reduce concern	Evidence that would increase concern
1. Paying end-user demand	Recurring receipts and renewal evidence.	Usage growth with weak monetisation or heavy subsidies.
2. Cash conversion	Collections keep pace with recognised revenue.	Receivables or deferred payment terms outpace sales.
3. Funding runway	Existing liquidity covers committed obligations.	Dependence on the next equity round or debt issue.
4. Replacement economics	Cash returns cover equipment refresh needs.	Accounting profit with persistent replacement cash deficits.
5. Backstop size and terms	Clear caps, schedules, triggers and recovery rights.	Promises expand faster than capacity to absorb calls.
6. Customer concentration	Cash comes from unrelated, diverse users.	The same few financed customers dominate receipts.
7. Credit-market confirmation	CDS, cash bonds and lending terms stabilise together.	Wider spreads with cancelled issuance or tougher covenants.
8. Collateral / residual value	Observed resale or alternative-use evidence.	Recovery assumptions rely on a buoyant replacement buyer.
9. Ultimate risk bearer	Transparent net exposures and sound protection providers.	Several assets and policies depend on the same guarantor.
10. Cash-call timing	Liquidity matches maturities and guarantee commencement.	Construction delays, margin needs or clustered refinancing.

RESEARCH CONCLUSION

AI's financing loop deserves credit analysis alongside the technology story. The central risk is a common demand disappointment reaching sales, asset values and contingent obligations simultaneously. The best response is to identify who ultimately pays, what cash supports the payment and whether the investor can withstand a delay.

This is an analytical monitoring framework. The table does not assign a verified status to any individual company or forecast a threshold, default date or market return.

16 / HOW TO USE THE REPORT

Methodology and research limits

Evidence has different levels of authority. Company filings establish what an issuer disclosed. They do not certify recoverability. BIS and central-bank research supplies methods and interpretation. Reuters and FT observations are attributed reporting. Scenarios and portfolio implications are the report's analysis.

Evidence class	Treatment
Primary / attached	BIS attachment; official company filings; central-bank publications; DTCC / ISDA documentation; Willis industry survey.
Reported	Dated market levels and named-bank actions. FT indexed reporting checked; private source datasets and policy contracts unavailable.
Calculated	GDP subtotals use Decimal sums of displayed source inputs. Published precision is preserved; no undisclosed return assumptions.
Analytical	Mechanisms, scenarios, risk questions and portfolio implications. No numerical scenario probabilities or target prices.
User supplied	Video claims and timestamps. No claim that the full video was watched or its transcript independently validated.

The dates serve different purposes. The cutoff is the research-completion time. Company amounts use their filing observation dates; October CDS observations are not November prices; the GDP series is a July-vintage historical proxy. Sources published after the cutoff are excluded.

The report does not estimate aggregate system debt or loss. Guarantee, lease, loan, investment and hedge amounts can overlap. Private exposures, collateral, netting and effective contract dates are incomplete, so adding headline values would be misleading.

Design follows the supplied and linked standards. The attached V3.0 guide, supplied JSON, published V3 workbook's V1.2 reference sheets and current editorial / colour pages were inspected. Relevant semantic colours were preserved; unmapped firms remain neutral. Deep Vintage 05 follows the credit-risk thesis. The reference editorial policy itself retains draft status. [25][26][27][28]

Short glossary

Notional: contractual reference amount. **Backstop:** defined contingent support. **Residual value:** recoverable value after use or default. **SPV:** a special-purpose legal vehicle. **Offtake:** an agreement to buy output or capacity. **Basis risk:** mismatch between the exposure and hedge. **Runway:** how long available funding can meet cash needs.

Use and disclosure. Prepared with AI research and drafting assistance; figures and source distinctions checked. Independent educational research, not an official OCBC publication or personalised advice. No personal holdings or conflicts are asserted because none were supplied for this report.

17 / CLICK ANY SOURCE TITLE

Sources: company and market records

[1] BIS Bulletin 137: Circular relationships among AI firms

1 October 2026; data 2021-2025; Graph 3 and methodology, printed pp. 1-6. Supplied PDF read in full.

[2] Alphabet Form 10-Q

Quarter ended 30 September 2026; Notes 3, 5, 10; MD&A Contingent Commitments.

[3] Broadcom Form 8-K

Filed 27 October 2026; transaction 26 October; Item 2.03.

[4] Broadcom Form 10-Q

Quarter ended 2 August 2026; filed 10 September; Note 10.

[5] Nvidia Form 8-K

17 August 2026; Item 1.01, SB Energy / OpenAI residual-value guarantees.

[6] Nvidia Form 10-Q

Quarter ended 26 July 2026; August subsequent-event disclosure, guarantees and commitments.

[7] TeraWulf Form 10-Q

Quarter ended 30 September 2026; filed 6 November; Google backstop and warrants.

[8] SB Energy amended Form S-1

21 September 2026; relationship with Nvidia and guarantee compensation.

[9] CoreWeave Form 8-K

Filed 15 September 2025; agreement 9 September; residual capacity purchase commitment.

[10] Financial Times: AI debt worries spark surge in default insurance trading

20 October 2026; weekly turnover for July / September; cites Morgan Stanley Research. Indexed reporting checked; underlying raw series unavailable.

[11] Reuters: Why are credit default swaps unnerving AI investors?

15 October 2026; Amanda Cooper; syndicated Reuters copy. Dated indicative spreads, not current quotes.

[12] DTCC: CDS Kinetics

Product documentation distinguishing positions, gross/net notional and trading activity; accessed 13 November 2026.

[13] ISDA-hosted Practical Guidance: Credit Derivatives

Contractual credit events and settlement; professional legal practice note.

[14] ISDA CDS Standard Model

Fixed coupon / upfront conversion and standardised pricing; accessed 13 November 2026.

18 / CLICK ANY SOURCE TITLE

Sources: risk, macro and standards

[15] Willis: Credit and Political Risk Insurance Capacity Survey

May 2026, especially printed pp. 5 and 8. January survey of 76 insurers; some sector limits constrained.

[16] Financial Times: Banks turn to credit insurance to stretch AI lending limits

11 November 2026; reported bank actions; private policies not obtained.

[17] Reuters: Banks, investors grow wary of AI debt

9 November 2026; selective lending and cash-flow / contract scrutiny.

[18] BIS Bulletin 140: Building AI on credit

27 October 2026; structures, maturity and spillovers, especially printed pp. 4-6. Authors' views.

[19] New York Fed: Actions related to AIG

Historical account of September 2008 liquidity stress and collateral calls.

[20] Bank of England: Financial Stability Report

7 July 2026; section 2.3. A dated UK financial-stability assessment, not a November global guarantee.

[21] Federal Reserve Board FEDS Note: The AI Buildout and the Economy

17 July 2026; public indicators, category limitations and import adjustment.

[22] Federal Reserve Board: Accessible Figure 7 data

July 2026 vintage; displayed components of annualised quarterly GDP-growth contribution.

[23] J.P. Morgan Private Bank: Credit markets look for AI's weak links

23 October 2026; institutional interpretation; Bloomberg chart data to 21 October.

[24] Supplied YouTube video

User synopsis and timestamps. Full transcript, channel and upload date were not independently retrieved.

[25] Market Intelligence Hub: Editorial standards

Read 13 November 2026; page retains draft-policy status. Source hierarchy, evidence labels and design guidance applied.

[26] Market Intelligence Hub: Colour and tag reference

V1 mappings; reconciled V1.2 references in the linked V3 workbook / JSON checked against supplied JSON.

[27] Colour Standard V3.0 and STI Banks design reference

7 November 2026 V3 PDF plus published workbook; Deep Vintage 05 selected for the credit-risk thesis.

[28] STI Banks research: The STI's bank premium

Layout reference inspected; no financial data imported into this report.